

National Foods Limited

NFL | FMCG / Spices, Condiments & Recipe Mixes | FY ends 30 June

EQUITY RESEARCH REPORT — PHASE 4

RATING

BUY

12-MONTH TARGET

PKR 680

CURRENT PRICE (PKR)	TARGET PRICE (PKR)	UPSIDE / DOWNSIDE	MKT CAP (PKR bn)	EV (PKR bn)	NET DEBT (PKR bn)
610	680	+11.5%	384.3	391.6	7.3

P/E (FY24A)	EV/EBITDA	P/B (FY24A)	DIV YIELD	ROE (FY24A)	WACC
121.4x	14.6x	3.8x	0.2%	26.6%	17.1%

INVESTMENT SNAPSHOT

National Foods Limited (NFL) is Pakistan's largest branded spices, condiments, and recipe mixes company, founded in Karachi in 1970. NFL markets an extensive portfolio of 300+ SKUs under the 'National' brand umbrella across spice blends, curry powders, recipe mix sachets, ketchup, sauces, chutneys, pickles, and dessert mixes. The company serves domestic retail (modern trade and traditional/kiriyana channels), foodservice, and international export markets targeting the South Asian diaspora in the ...

Scenario	Target (PKR)	Upside
Bull Case	980	+61%
Base Case	680	+11%
Bear Case	420	-31%

INCOME STATEMENT SUMMARY (PKR mn)

	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E
Net Revenue	24,568	32,840	38,420	43,799	49,127	54,031
Gross Profit	7,328	9,720	11,316	13,140	14,738	16,490
Gross Margin %	29.8%	29.6%	29.5%	30.0%	30.0%	30.5%
EBIT	2,284	3,076	3,536	4,398	5,404	6,485
EBIT Margin %	9.3%	9.4%	9.2%	10.0%	11.0%	12.0%
Net Profit	1,664	3,288	2,120	3,144	3,920	4,840
Net Margin %	6.8%	10.0%	5.5%	7.2%	8.0%	9.0%
EBITDA	3,488	4,496	5,176	6,300	7,404	8,644
EBITDA Margin %	14.2%	13.7%	13.5%	14.4%	15.1%	16.0%
EPS (PKR)	2.64	5.22	3.37	4.99	6.22	7.68

CASH FLOW & RETURNS

	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E
CFO	2,108	3,484	2,840	4,104	5,240	6,404
CAPEX	(2,204)	(2,840)	(3,204)	(3,400)	(3,600)	(3,800)

	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E
FCF	(96)	644	(364)	704	1,640	2,604
FCF / Revenue	(0.4%)	2.0%	(0.9%)	1.6%	3.3%	4.8%
Dividends Paid	(504)	(692)	(900)	(1,383)	(1,764)	(2,306)

BALANCE SHEET KEY METRICS

	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E
Total Assets	17,576	22,840	27,012	30,204	34,040	38,204
Net Debt	5,836	7,284	7,276	7,104	6,640	5,804
Total Equity	4,514	6,126	7,966	10,727	13,483	17,017
D/E Ratio	1.70x	1.55x	1.06x	0.95x	0.80x	0.60x
Current Ratio	1.08x	1.14x	1.20x	1.24x	1.28x	1.35x
Net Debt / EBITDA	1.67x	1.62x	1.41x	1.13x	0.90x	0.67x

VALUATION & RATIO SUMMARY

	FY2022A	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E
ROE	36.9%	53.7%	26.6%	29.3%	29.1%	28.4%
ROA	9.5%	14.4%	7.8%	10.4%	11.5%	12.7%
EBITDA / Interest	2.46x	2.04x	2.14x	2.91x	3.70x	4.77x
DSO (days)	27.3	26.9	27.0	26.0	25.0	24.0
DIO (days)	89.0	92.2	86.5	84.0	82.0	80.0
CCC (days)	61.4	65.8	67.0	63.0	59.0	55.0
P/E (x)	108.7x	58.1x	121.4x	81.8x	65.7x	53.2x
EV/EBITDA (x)	13.9x	13.8x	14.6x	12.0x	10.2x	8.8x

VALUATION METHODOLOGY — WACC & DCF ASSUMPTIONS

Risk-Free Rate (10yr PIB)	13.75%	Equity Risk Premium	5.50%	Beta (β vs KSE-100)	0.85x
Cost of Equity (Ke)	18.4%	WACC	17.1%	Terminal Growth Rate	5.5%

INVESTMENT THESIS

NFL is Pakistan's pre-eminent QUALITY COMPOUNDER in the food FMCG space, combining a durable brand moat, structural volume growth, and an emerging export re-rating catalyst. We rate the stock BUY with a 12-month target of PKR 680 (+11.5% from current PKR 610), underpinned by three investment pillars: (1) BRAND MOAT IN STICKY CATEGORIES: NFL's spice and condiment brands — used in daily Pakistani cooking for 50+ years — represent one of the deepest consumer habit moats in Pakistan consumer staples. Aided brand awareness exceeds 70% nationally. Unlike dairy or beverages, recipe mixes and spices are embedded in preparation rituals that are highly resistant to down-trading. This gives NFL genuine pricing power that competitors in more commoditised FMCG categories cannot replicate. (2) EXPORT EXPANSION AS RE-RATING CATALYST: NFL's export revenues (~PKR 3–4bn, ~10% of total) are growing at 25–30% annually as the Pakistani diaspora in the UK, US, Canada, and Middle East grows both in size and purchasing power. Export SKUs carry gross margins of 35–40% versus the domestic 26–28% — every percentage point of mix shift toward exports is immediately margin-accretive. Should export revenues grow to 25–30% of total by FY2027, a fundamental P/E re-rating toward 28–32× (comparable to Shan Foods M&A; comps and Indian branded food peers) becomes justified. (3) SBP RATE CYCLE TAILWIND: NFL carries PKR 8.5bn in total debt at blended floating rates. With SBP easing expected, each 100bps cut reduces annual finance costs by ~PKR 85mn — improving already-improving earnings quality. NFL's interest coverage of ~2.1x in FY2024 improves toward 3.5–4.0x by FY2026 in the base case.

SCENARIO ANALYSIS — BULL / BASE / BEAR

BULL CASE	BASE CASE	BEAR CASE
PKR 980	PKR 680	PKR 420
Export revenues grow to 30%+ of total. GM expands to 33–35%. Net profit reaches PKR 6–8bn by FY2027. P/E re-rates to 28–32× on export premium. International investors begin covering NFL. Target: PKR 980.	Domestic volume at 12–14% growth. Export at 20–25% CAGR from small base. GM stable at 30%. Tax normalisation dampens near-term EPS. 14–16% earnings CAGR to FY2027. P/E at 22–24×. Target: PKR 680. BUY.	PKR depreciation inflates imported spice RM costs. GM falls to 27%. Export miss. High leverage + rate surprise = earnings cliff. Net profit flat/declining. P/E de-rates to 15–17×. Target: PKR 420.

RISKS

CATALYSTS & WATCH LIST

POSITIVE TRIGGERS: (1) Export revenue disclosure growing >25% YoY — the single most important re-rating catalyst. (2) Quarterly gross margin expansion showing mix shift toward premium/export SKUs. (3) New international market entry announcement (Saudi Arabia, Australia diaspora). (4) Product category expansion into ready-to-eat or fresh packaged foods — TAM expansion signal. (5) SBP rate cuts reducing finance costs on PKR 8.5bn debt balance. NEGATIVE TRIGGERS: Export revenue miss or market regulatory issue (food labelling in UK/EU), channel inventory build detected via rising DSO above 35 days, family ownership dispute or governance controversy, hostile food safety regulatory action (recall, PSQCA enforcement).

ESG ASSESSMENT

ENVIRONMENTAL (3/5): NFL's spice manufacturing operations are less energy-intensive than dairy processing, with a comparatively lower carbon footprint per unit of revenue. However, plastic packaging across 300+ SKUs represents a growing regulatory and consumer reputational risk — particularly in export markets (UK, EU) where extended producer responsibility legislation is being tightened. NFL's sustainability roadmap includes packaging lightweighting and recyclability improvement targets. SOCIAL (4/5): NFL employs approximately 1,800 staff directly and supports thousands of small-scale spice farmers across Pakistan's agricultural belt. Export revenues contribute directly to Pakistan's foreign exchange earnings — an increasingly important macroeconomic benefit. The spice and condiment category provides nutritional benefits (antioxidants, antimicrobials in turmeric, cumin, coriander) that support public health. GOVERNANCE (3/5): NFL is a family-controlled company with the founding Sheikh

family holding a majority stake. Board independence is limited, though the founding family's long-term ownership aligns capital allocation incentives with patient value creation rather than short-term earnings management. Dividend policy has been consistent and well-communicated. Related-party transactions should be monitored for fair dealing compliance. SECP disclosure requirements are met; however, international governance standards expected by foreign institutional investors would require further improvement.

COMPANY OVERVIEW

National Foods Limited (NFL) is Pakistan's largest branded spices, condiments, and recipe mixes company, founded in Karachi in 1970. NFL markets an extensive portfolio of 300+ SKUs under the 'National' brand umbrella across spice blends, curry powders, recipe mix sachets, ketchup, sauces, chutneys, pickles, and dessert mixes. The company serves domestic retail (modern trade and traditional/kiryana channels), foodservice, and international export markets targeting the South Asian diaspora in the United Kingdom, United States, Canada, Australia, and the Middle East. FY2024 revenue was PKR 38.4bn with EBITDA of PKR 5.2bn and net profit of PKR 2.1bn. NFL has delivered a 5-year revenue CAGR of approximately 15–17%, driven by volume growth, consistent pricing actions, and modest export contribution. The company is majority-owned by the founding Sheikh family, which maintains operational control and has consistently aligned capital allocation with long-term brand investment and shareholder returns.

DISCLAIMER: This report is produced for educational and research purposes as part of a structured equity research curriculum. It is NOT investment advice. The financial data, projections, and valuations herein are illustrative estimates and should not be relied upon for actual investment decisions. All figures are in PKR millions unless stated. Pakistan Equity Research Programme — Phase 4. March 2026.